

Growth and Development of an Enterprise

Growth is essential for the existence of a business. Expansion decisions should consider financial, logistical, and emotional readiness. Expand when there are untapped opportunities.

Expansion can be:

- Internal Expansion
- External Expansion

Internal Expansion

Internal expansion occurs through a gradual increase in activities. This includes expanding production capacity by adding or replacing machines with more productive ones.

- **Financing:** Can be financed by issuing more share capital, using old profits, or issuing long-term securities.
- **Key Idea:** Changes made *within* the enterprise that increase manufacturing capacity and financial capacity.

External Expansion

External expansion refers to business combinations where two or more concerns combine to expand their activities. This is done for mutual benefit or maximum profits.

Main forms of external expansion:

- Franchising
- Mergers and Acquisitions

Franchising

Franchising is an arrangement where a manufacturer or sole distributor of a trademarked product or service grants exclusive rights of local distribution to independent retailers. In return, retailers pay royalties and conform to standardized operating procedures.

- **Franchisor:** The person or company offering the franchise (owns the business, gives rights to sell product).
- **Franchisee:** The person or company who purchases the franchise (obtains license to manufacture and sell product under franchisor's name).
- **Franchise Agreement:** The legal document binding the franchisor and franchisee, detailing expectations, terms, conditions, and royalties. It ensures uniform treatment of all franchisees.
- **Royalty:** Payment made by the franchisee to the franchisor for permission to use the brand and system.

History of Franchising

- **1850s:** Isaac Singer began selling licenses for his sewing machines to entrepreneurs to distribute outside his geographical area and provide training.
- **1955:** Ray Kroc took over a small chain of food franchises and built McDonald's into the world's most successful fast-food franchise system.

Merits to the Franchisee

- Established Brand
- Quality Product
- Advertisement
- Financing
- Training (Employee & Staff)
- Technology Upgradation
- Uniform control system
- Better Start

Merits to the Franchisor

- Expansion
- Enhancing goodwill
- Direct Feedback
- Royalties & Share in Profits

Limitations of Franchise (General)

- High royalty payments
- No independence
- Limited variety

Types of Franchises

1. **Product Franchise Opportunity:** The manufacturer grants a store owner the authority to distribute goods and use the manufacturer's name and trademark.
 - **Example:** Nike store selling Nike shoes (Puma, Nike, Asics stores).
2. **Manufacturing Franchise Opportunity:** An organization is granted the right to manufacture a product and sell it to the public using the franchisor's name and trademark.
 - **Example:** McDonald's, Starbucks.

3. **Business Franchise Opportunity Ventures:** Requires a business owner to purchase and distribute products for one specific company.
4. **Business Format Franchise Opportunity:** The most popular form of franchising. A company provides a business owner with a proven method for operating a business using the company's name and trademark.
 - **Key Idea:** Proven business model setup.

Merger

A merger is a combination of two companies into one larger company. The acquiring company takes over the assets and liabilities of the merged company.

Forms of Merger

1. **Amalgamation (Consolidation):** Two entities combine to form an *entirely new entity*, extinguishing both existing entities.
 - **Example:** Company A + Company B = Company C (new company).
2. **Absorption:** One entity gets *absorbed* into another. The latter (acquiring company) does not lose its entity.
 - **Example:** Company A (acquiring) + Company B (merged) = Company A (larger).

Types of Mergers

1. **Conglomerate Merger:** Between firms involved in totally unrelated business activities.
 - **Pure conglomerate:** Firms with nothing in common.
 - **Mixed conglomerate:** Firms looking for product or market extensions.
 - **Example:** A book publication house merges with a shoe manufacturing company.
2. **Horizontal Merger:** A business consolidation between firms that operate in the *same space*, often as competitors offering the same goods or services.
 - **Example:** Coca-Cola and Pepsi beverage division merger, two tea leaves companies merging.
3. **Market Extension Merger:** Takes place between two companies that deal in the *same products but in separate markets*.
 - **Example:** Eagle Bancshares Inc. (Atlanta, Georgia) acquired by RBC Centura. A coffee company supplying East & West India merges with a coffee company supplying North & South India.
4. **Product Extension Merger:** Takes place between two business organizations that deal in *related products* and operate in the same market. This allows merging companies to group products and access a bigger set of consumers.
 - **Example:** Acquisition of Mobilink Telecom Inc. by Broadcom (Bluetooth hardware). A two-wheeler company merges with a helmets manufacturer.
5. **Vertical Merger:** Occurs when two or more firms, operating at *different levels within an industry's supply chain*, merge operations. Aims to increase synergies and efficiency.
 - **Example:** An electric two-wheeler manufacturer merges with a battery supplier.

Acquisition

Acquisition is a general term enveloping a range of acquisition transactions, often leading to a takeover. It's a corporate action where a company buys most, if not all, of a target company's ownership stakes to assume control. Also known as a takeover, it's the buying of one company (the target) by another.

Types of Acquisitions

1. **Friendly Acquisition:** Both companies approve the acquisition under friendly terms. The process is cordial with no forceful takeover.
2. **Reverse Acquisition:** A private company takes over a public company.
3. **Basic Flip Acquisition:** A rare case where the purchasing company becomes a subsidiary of the purchased company.
 - **Example:** Company 'A' acquires Company 'B', but Company 'A' becomes a subsidiary of 'B'.
4. **Hostile Acquisition:** The entire process is done by force. The smaller company is driven to a point where it has no option but to agree, or the bigger company buys off all its shares to establish majority.

Reasons for Merger & Acquisition (Synergy)

Synergy is the most essential component, referring to the difference between the value of the combined firm and the sum of the individual participants' values. The combined entity's value is expected to be greater than the sum of its parts.

Synergy Can Take the Following Forms

1. **Operating Synergy:** Cost savings through economies of scale or increased sales and profits.
2. **Financial Synergy:** Direct result of financial factors like lower taxes, higher debt capacity, or better use of idle cash.
 - **Example:** Hindustan Unilever acquired Lakme to enter the cosmetics market.
3. **Acquiring New Technology:** Buying a company with unique technology to maintain or develop a competitive edge.
4. **Improved Profitability:** Mergers are explored when they are anticipated to improve profitability.
5. **Acquiring a Competency:** M&A is used to acquire competencies or capabilities that a company does not possess.
 - **Example:** IBM merged with Daksh to acquire competencies.
6. **Entry into New Markets:** To enter new markets and overcome stiff competition.
 - **Example:** Merger of Orange, Hutch, and Vodafone.
7. **Access to Funds:** Companies merge to overcome difficulties in accessing funds from the capital market.
 - **Example:** TDPL merged with Sun Pharma to launch new products.
8. **Tax Benefits:** Merging with a loss-making entity allows for setting off accumulated losses against profits, gaining tax benefits.
 - **Example:** ALIT acquired by Hinduja Finance to set off losses against profits.

@ThunderStudy

